19.4 THEORIES OF DEVELOPMENT

Economic growth results in lower unemployment rates, higher tax revenues, improved living standards, and a reduction in poverty. Additionally, governments of growing economies can afford to invest in infrastructure and social services. Theories that explain spatial variations in development include Rostow's stages of economic growth, Wallerstein's world system theory, dependency theory, and commodity dependence.

ROSTOW'S STAGES OF ECONOMIC GROWTH

LEARNING OBJECTIVE

SPS-7.E Describe different theories of economic and social development.

In the 1960s, after much of Africa and Asia gained independence, Walt W. Rostow developed his **stages of economic growth** model. He studied countries that had success in developing economically and asked: How were these countries able to achieve this modernization, and could poorer countries follow a similar path? At the time, it was assumed that every country wanted to achieve modernization, that is, the social, political, economic, and technological changes associated with becoming industrialized and moving away from traditional ways of life. Rostow suggested that all countries could be categorized on a spectrum from traditional to modern and that to become modern, countries needed to pass through distinct stages of economic growth in succession. He also assumed that all countries practiced a form of market-oriented capitalism.

Stage 1: Traditional Society In the simplest and most primitive form of organization, political power is local, regional, or based on land ownership. Family plays a dominant role, and social structures limit economic mobility. Rostow described traditional society as one that is primarily rural, centered on subsistence farming by family labor and using primitive technology. Modern science and technology are nonexistent in this stage.

Stage 2: Preconditions for Takeoff Progressive elements begin to form, and people start to seek knowledge and break free from the traditional mindset. New types of enterprises emerge with long-term goals, investment increases, and output rises. As industry accelerates, improved infrastructure becomes essential. The workforce shifts from agriculture to manufacturing, and credit institutions are developed to make investments more accessible.

Stage 3: Takeoff Political, social, and institutional frameworks in society change. Urbanization increases, infrastructure continues to improve, and productive capacity surges in some manufacturing industries, with technological advances as well.

Stage 4: Drive to Maturity The economy keeps progressing in a period of self-sustained growth. In this respect, "maturity" is the state in which a country's successes become the norm, or habit. Industries function at maximum effectiveness, and electric power generation and consumption are high. Consumption patterns shift thanks to increased income. Entrepreneurial leadership changes from individual industrialists to managerial bureaucracy.

Stage 5: High Mass Consumption Modern societies are urban, centered on wage labor, and organized into states. Production shifts from industrial manufacturing to consumer goods and services. Problems of production change to problems of consumption, and trade expands.

Rostow envisioned that each country could be categorized in one of these stages, and that all countries could follow these principles to achieve economic growth and success. Various factors influence the speed of progression according to Rostow's model. They include natural resource availability, productivity, and political and social decision-making.

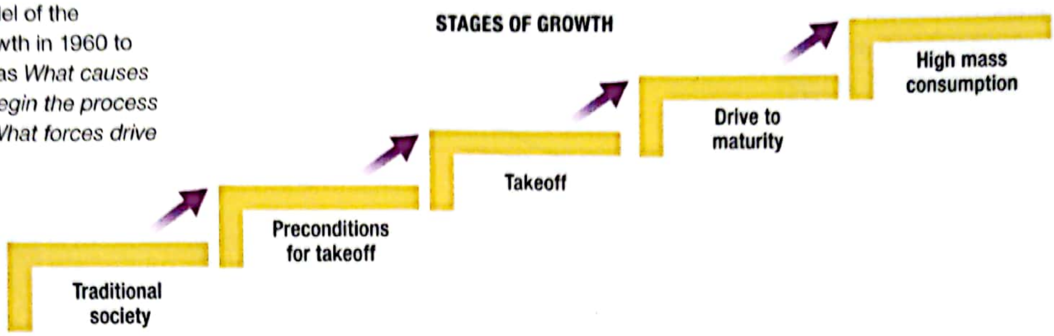
The earliest country to reach maturity was Great Britain. Its production of textiles placed it in takeoff stage in the early 18th century. The Industrial Revolution, with the introduction of the water frame, the power loom, and the use of steam power, propelled the country to its drive to maturity stage around 1850. The next major country to hit maturity was the United States around 1900. Canada and Russia both hit maturity around 1950, but Canada has been able to reach stage 5. Russia remains in stage 4 because it has oligarchs and widespread corruption instead of leadership that follows the rule of law.

Singapore illustrates Rostow's model. With a population of around 5.8 million in 2019, Singapore had a successful, linear path of economic growth. After its independence in 1965, it focused on industrialization and developed profitable manufacturing and high-tech industries. It hit its maturity not long after it passed its takeoff stage. Singapore is now highly modernized, quite wealthy, and a leading trade partner in the global market, placing it securely in Rostow's stage five.

LIMITATIONS OF THE STAGES OF ECONOMIC GROWTH MODEL Since Rostow's model was based on the United States and Europe in the 1960s, critics argue

MODEL: ROSTOW'S STAGES OF ECONOMIC GROWTH

Rostow created his model of the stages of economic growth in 1960 to answer questions such as *What causes traditional societies to begin the process of modernization?* and *What forces drive this process of growth?*



that it can't be applied to every country. According to the model, the result of the sequence of growth stages is an industrialized, capitalist, democratic country; the assumption is that all countries will wish to have these characteristics.

A further limitation of the model is that the stages of growth in some countries differ by region. For example, India is difficult to categorize using Rostow's model. The country as a whole might be placed in stage 3 or stage 4, but some regions remain in stage 2.

In addition, Rostow's model does not take into account geographic influences and challenges. One country may make the leap from being a rural, agrarian state to an industrialized one, but that breakthrough does not mean other countries will follow suit in exactly the same way, following the same ordered stages of growth.

Moreover, Rostow's stages of economic growth assume that all countries follow a progression of development in which they will become mass consumers, but they don't allow for Earth's carrying capacity and new ecological limits—information that was unavailable to Rostow in the 1960s. Mass consumerism creates a "the more, the better" attitude, and Rostow did not consider that consumers at the final stage would use and demand more than they actually should. Sustainability becomes an issue as consumers deplete resources and create environmental degradation.

Another criticism of Rostow's model is that it doesn't consider how countries influence one another and how these impacts can affect the progression of development. Countries in this time of globalization are interconnected and interdependent. The road to maturity was much different for the "early starters"—the countries that matured sooner—like Great Britain and the United States. Their path was much clearer: They had less competition and fewer obstacles. The "late starters" in today's peripheral regions have much bigger barriers to overcome that in many cases are a direct result of the success of the early starters, such as colonial legacies or lack of access to the latest technologies.

WALLERSTEIN'S WORLD SYSTEM THEORY

LEARNING OBJECTIVE

SPS-7.E Describe different theories of economic and social development.

In response to Rostow's stages of economic growth model, Immanuel Wallerstein published his world system theory (which you learned about in Chapter 1) in 1974. This theory describes the spatial and functional relationships between countries and helps explain the history of uneven economic development in the world economy.

According to Wallerstein, countries are dependent on one another and don't develop in isolation: Some countries dominate and some are exploited. His theory illustrates global inequality through a social structure, dividing the world into a three-tiered structure consisting of core, peripheral, and semi-peripheral regions. As you've read throughout the text, core countries dominate and take advantage of peripheral countries for labor and raw materials, and peripheral countries are dependent on core countries for capital. Semi-peripheral countries have qualities of both core countries and peripheral countries.

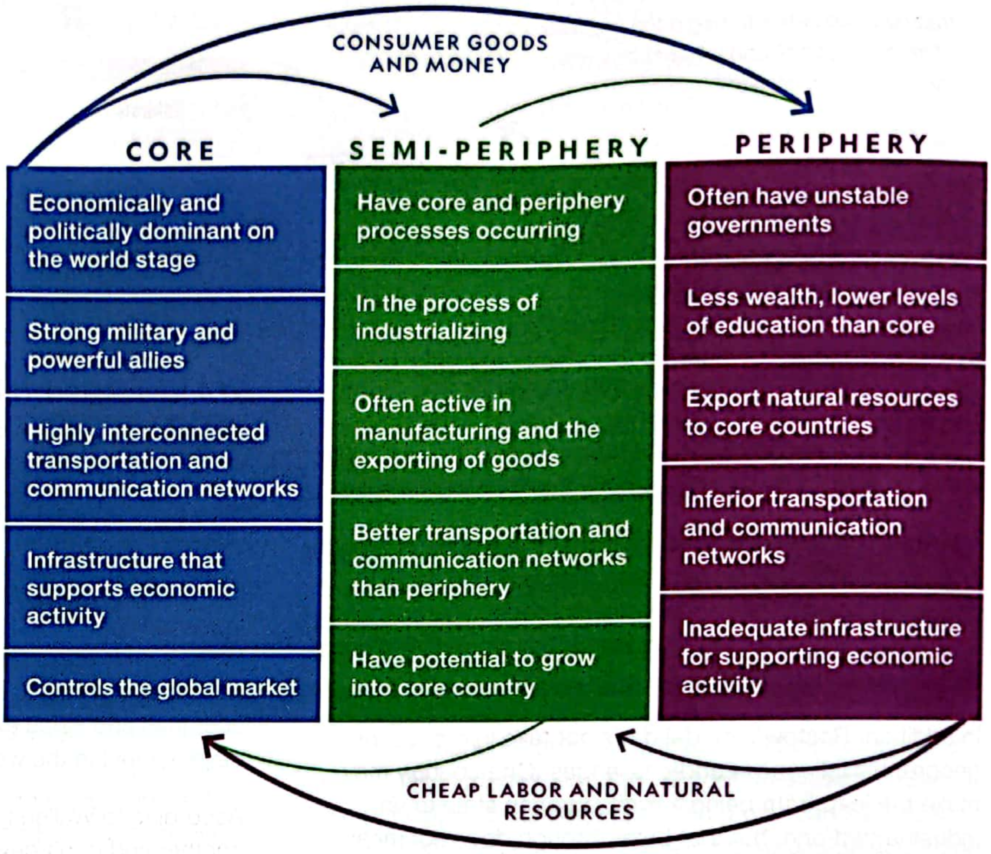
World system theory includes both political and economic elements and can be viewed as either a political or economic theory with geographic effects. Wallerstein examined the world economy and how it developed due to capitalism. Capitalism became a global system with stronger, interdependent economic ties between regions and countries, gradually encompassing all countries in the world in some way. Today's core countries are able to accumulate capital internally through taxation, government purchasing, funding of infrastructure, and sponsorship of research and development. Core countries are also able to accumulate capital through control of the world economy. They use their power—economic, political, social, and military—to pay low prices for raw materials, to employ cheap labor in peripheral regions, and to install trade barriers and quotas. It is possible for countries to move from the periphery to the semi-periphery, and from the semi-periphery to the core as they develop economically.

However, since the prosperity of core countries depends on exploitation of peripheral countries, movement up the hierarchy is difficult, and the system produces imbalances around the world.

Inequalities exist at different scales: between countries and within countries. According to world system theory, Mexico is an industrializing, semi-peripheral country. Why? Within Mexico's borders are large peripheral areas, such as its southern states of Chiapas and Oaxaca, in the rural highlands of the country where economic opportunities are limited and poverty rates are high.

MODEL: CORE-PERIPHERY

The core-periphery model—which is part of world system theory—illustrates the interdependence between core, peripheral, and semi-peripheral regions.



The World Bank found that in 2018, 42 percent, or more than 52 million, of Mexico's people lived below its poverty line, and that 7 of 10 people living in poverty resided in just 6 of Mexico's 32 states, mostly in the country's south. In Mexico City and in most of Mexico's northern states, poverty rates are much lower. This high rate of income inequality—along with related factors such as less access to education, health care, and basic infrastructure—illustrate the continuum of poverty that keeps Mexico in the semi-periphery. Its 2018 GNI per capita was U.S. $9,180.

Compare this data to those of a less economically developed country like Angola, whose poverty headcount ratio jumped from 30.1 percent in 2010 to 47.6 percent in 2018 and whose GNI per capita was U.S. $3,370. The United Nations notes that many people do not have "food security, access to basic services such as healthcare, transportation and education," or live "in peaceful, stable societies." In world system theory, the cycle of interaction between the core and the periphery often keeps those living in poverty from being able to improve their situation.

LIMITATIONS OF WORLD SYSTEM THEORY

The biggest criticism of world system theory is that the model is too focused on economics. Categorizing countries based on a global economy isn't comprehensive. Experts claim that there are more determinants for the economic development or connection to the world system than capitalism. Critics also argue that a study of core-peripheral relationships must take into account other measures of integration or dominance, such as cultural influence.

A further limitation is that the theory may work as an historical analysis but may not be the best measure of modern development. Another weakness is that the theory states that countries can change their status but gives no explanation as to how that can happen. Detractors argue that a theory explaining an event should also include supporting material when making a claim.

DEPENDENCY THEORY

LEARNING OBJECTIVE
SPS-7.E Describe different theories of economic and social development.

In the late 1950s, experts at the United Nations tried to explain why economic growth in industrialized countries did not lead to economic growth in nonindustrialized countries. They identified a financial dependency among countries with widely diverse economies. This reliance explained the failure of less economically developed countries to experience financial growth despite investments from more economically developed countries. **Dependency theory** describes the development challenges and limitations faced by poorer countries and the political and economic relationships poorer countries have with richer countries.